

SOURCES OF INCOME

INTEREST

- Arises from payments by special purpose vehicles managing infrastructure assets
- Typically the largest component, a key part of predictable cash flows

RETURN OF CAPITAL (ROC)

- Represents repayment of invested principal rather than income
- Reduces cost of acquisition, thereby influencing capital gains upon sale

DIVIDEND

- Generated from operational profits of the assets
- Contribution varies with asset performance and the SPV's chosen structure

CAPITAL GAINS

- Realised on sale of listed InvIT units
- Adjusted for prior ROC received, which can increase taxable gain

ESSENTIAL RISK CHECKS

- **Cash flow waterfall mechanism:**
Understand how cash flows are prioritised and distributed
- **Related-party transactions:**
Identify and assess the extent and nature of such transactions
- **Valuation assumptions:**
Analyse the assumptions underpinning asset valuations, such as projection of higher tariff hikes for power assets
- **Sponsor commitment:**
Assess the minimum unit-holding requirements and lock-in obligations

- **Track record:**
Evaluate the performance history of sponsor, investment manager, and InvIT

- **Support agreements:**
Look at agreements that provide revenue or cash flow support
- **Legal disputes:**
Review any ongoing or potential legal or regulatory disputes

RED FLAGS

Look for aggressive asset monetisation by sponsors at elevated valuations (reducing exposure); excessive related-party transactions indicating value leakage

SOURCE RAJANI ASSOCIATES